

NEXTECH

Career App

BUSINESS PLAN

Addressing Youth Unemployment Through Technology

Prepared by: NexTech Group

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Institution: Sol Plaatje University, Kimberley, Northern Cape

Course: Technopreneurship (NTEC62110)

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"From invisible applicant to confident candidate -in minutes, from your phone."

1. EXECUTIVE SUMMARY

Mission Statement: *To empower South African youth with accessible, AI-driven career tools that bridge the gap between potential and employment -regardless of device, data budget, or geographic location.*

South Africa faces one of the world's most acute youth unemployment crises. As of 2025, 46.1% of individuals aged 15–34 are unemployed, with this figure rising to approximately 60% among those aged 15–24. Paradoxically, over 118,000 technology and IT positions remain unfilled -not because jobs do not exist, but because a systemic gap prevents young people from successfully navigating the modern hiring process.

NexTech Solutions was founded by three Information and Communication Technology students at Sol Plaatje University, Kimberley, in response to this crisis. The company's flagship product, the NexTech Career App, is an AI-powered, mobile-first career support platform designed specifically for South African youth. The application provides three core capabilities: an intelligent Resume Builder that produces ATS-optimised CVs, an AI Cover Letter Generator that tailors application letters to specific job postings, and an AI Interview Coach that simulates real interview scenarios and delivers real-time feedback. A progress-tracking and motivation module further supports users through the emotionally challenging job-search process.

What sets NexTech apart is the deliberate alignment of the product with the lived realities of its users. With 92% of South African youth owning a smartphone yet only 16% owning a computer, and with data costs among the highest in the world relative to income, the platform is engineered to be mobile-first, data-light, and offline-capable. A working web-based MVP has been developed and tested with initial users, receiving strongly positive feedback from recruitment professionals and career advisors.

The business model is B2B-focused: NexTech generates revenue by licensing the platform to universities, TVET colleges, government bodies (including NYDA and SETAs), and corporate employers seeking access to a pipeline of job-ready candidates. The core application remains free to individual end users, removing the cost barrier entirely. The company is currently self-funded by its co-founders and will seek institutional partnerships and government grants as primary growth capital.

Key Business Goals

- Launch a fully functional mobile application within 12 months of securing initial institutional partnerships
- Onboard 5 institutional B2B clients within the first 36 months of operations
- Reach 10,000 registered individual users within 36 months
- Achieve financial sustainability through B2B licensing revenue by end of Year 2
- Expand nationally to serve youth across all nine provinces within 3 years

2. COMPANY DESCRIPTION

2.1 Business Overview

Business Name	NexTech Solutions (Pty) Ltd
Trading Name	NexTech Career App
Business Type	Technology Start-up - Service-Based (SaaS / B2B Platform)
Location	Kimberley, Northern Cape, South Africa
Founded	2026
Stage	MVP / Early-Stage - Web application operational; mobile app in development
Industry	EdTech / HRTech / Career Technology
Registration	To be registered as a Private Company (Pty) Ltd with CIPC

2.2 Mission, Vision & Values

Mission

To empower South African youth with accessible, AI-driven career development tools that democratise access to professional job-application support -making quality career guidance available to every young person, regardless of their economic circumstances, geographic location, or level of digital literacy.

Vision

To become South Africa's leading career technology platform for youth, recognised as the definitive bridge between unemployed young talent and available employment opportunities -ultimately contributing to a measurable reduction in youth unemployment across the country.

Core Values

- Accessibility - We design for the most constrained user, not the most privileged
- Authenticity - Built by South African youth, for South African youth, with full contextual understanding
- Innovation - We leverage AI to solve deeply human problems
- Impact - Every product decision is evaluated through the lens of social and economic impact
- Integrity - We are transparent with our users, partners, and stakeholders

2.3 Business Goals & Objectives

Short-Term (Year 1 -)

- Complete mobile application development and launch on Google Play Store
- Establish 3 - 5 formal B2B institutional partnerships (universities, NYDA, corporate)
- Reach 5,000 registered individual users
- Apply for NYDA Youth Fund and SETA Skills Development grants
- Register the business formally with CIPC

Medium-Term (Year 2–3)

- Scale to 10+ institutional clients and 25,000+ individual users
- Expand to cover all nine provinces through institutional partner networks
- Introduce premium AI features (LinkedIn integration, advanced analytics)
- Achieve break-even and positive cash flow

Long-Term (Year 3–5)

- Position NexTech as the standard career support platform integrated into SA's TVET and university systems
- Explore expansion into other African markets (Zimbabwe, Namibia, Botswana etc)
- Develop employer-side tools (candidate matching, skills assessments)

3. MARKET ANALYSIS

3.1 Industry Overview

NexTech operates at the intersection of three growing global industries: Education Technology (EdTech), Human Resources Technology (HRTech), and Career Development platforms. Globally, the EdTech market was valued at over USD 340 billion in 2024, with AI-driven career tools representing one of its fastest-growing sub-segments. In South Africa, increased smartphone penetration, government focus on digital skills development, and the urgency of the youth unemployment crisis create a uniquely compelling market environment.

The South African government has identified digital skills and youth employment as national priorities, with substantial budget allocations to Skills Development through SETAs, the NYDA Youth Fund, and the National Skills Fund (NSF). This policy environment actively supports the adoption of technology solutions that address employability gaps.

3.2 Market Size & Growth Potential

Key Market Statistics (South Africa, 2025–2026)

- 46.1% of youth aged 15 - 34 are unemployed -representing approximately 4.9 million young people actively seeking work
- ~60% of those aged 15 - 24 are without employment, the highest youth unemployment rate among G20 comparable economies
- 118,000+ technology and IT positions remain unfilled due to the skills and application gap
- Only 4.8% of matric graduates secure employment upon leaving school
- 92% of SA youth own a mobile phone; only 16% own a personal computer
- 73% of SA youth access the internet exclusively via mobile phones
- 26 public universities and 50 TVET colleges represent immediate B2B institutional targets

The addressable market is substantial. At the institutional level, South Africa has 26 public universities and 50 public TVET colleges, plus hundreds of corporate employers actively seeking skilled candidates. At the individual level, the pool of unemployed youth seeking employment tools numbers in the millions. Even conservative penetration of 1% of the individual user market represents 49,000 users -a compelling platform scale.

3.3 Target Market & Customer Segments

Primary Segment -Individual End Users (Free)

Unemployed and job-seeking South African youth aged 18 - 35, particularly matric graduates entering the labour market for the first time, TVET college and university students preparing for employment, and rural and peri-urban youth with limited access to career guidance services. These users access the platform at no direct cost, with NexTech funded by the B2B layer.

Secondary Segment -B2B Institutional Clients (Revenue-Generating)

- Universities & TVET Colleges -Career centres seeking to provide students with standardised, scalable career preparation tools
- Government Bodies -NYDA, SETAs, and the DPSA seeking technology solutions to fulfil their youth employment mandates

- Corporate Employers & Recruiters -Companies wanting access to a pre-screened, application-ready candidate pipeline and employer branding opportunities
- NGOs & Development Organisations -Entities funding youth employment initiatives who need proven digital tools to deploy at scale

3.4 Competitor Analysis

The following table analyses the key competitors and their limitations relative to NexTech:

Competitor	Mobile-First	AI-Powered	SA-Localised	Key Weakness
LinkedIn	Partial	Partial	No	Data-heavy, desktop-centric, Western-oriented, no CV/interview tools for entry-level
Indeed / CareerJunction	Partial	No	Partial	Job listings only -no career preparation, guidance, or document creation
NYDA Portal	No	No	Yes	Government bureaucracy, poor UX, no AI features, limited reach
CV Builder apps (generic)	Yes	Partial	No	Generic templates, no interview prep, not SA job-market contextualised
NexTech Career App	Yes	Yes	Yes	Early-stage -building brand recognition and institutional trust

NexTech is uniquely positioned as the only platform that combines all four critical differentiators -mobile-first architecture, AI-powered guidance, South African market localisation, and offline functionality -in a single integrated application. No existing competitor offers this combination.

4. ORGANISATION & MANAGEMENT

4.1 Legal Structure

NexTech Solutions will be registered as a Private Company (Pty) Ltd under the Companies Act 71 of 2008, with the Companies and Intellectual Property Commission (CIPC). The three co-founders will hold equal shares of 33.33% each in the initial equity structure.

4.2 Organisational Chart



4.3 Co-Founder Profiles

Mohau Mphanya -Co-Founder: Business & Partnerships

Mohau leads NexTech's institutional relationship-building, B2B sales strategy, and operational management. As a Technopreneurship student at Sol Plaatje University, Mohau combines a strong understanding of the South African business landscape with firsthand experience of the barriers young job seekers face. Mohau is responsible for developing and maintaining relationships with government bodies, universities, and corporate partners, and oversees the company's strategic direction and financial planning.

Sive Mtengwana -Co-Founder: Product & Technology

Sive drives NexTech's technical development and product roadmap. With expertise in modern web technologies including Next.js, React, and AI API integration, Sive leads the engineering of the NexTech Career App - from the current web-based MVP through to the planned mobile-first application. Sive is responsible for platform architecture, AI model integration (OpenAI GPT-4 and Whisper ASR), data security, and continuous product improvement based on user feedback.

Lesedi Ledwaba -Co-Founder: Marketing & Community

Lesedi leads NexTech's brand development, user acquisition, and community engagement strategy. With a deep understanding of the target demographic -South African youth navigating unemployment -Lesedi shapes the platform's voice, manages social media presence across TikTok, Instagram, and LinkedIn, and drives grassroots outreach through university campuses and youth networks. Lesedi also oversees user experience research and ensures the product continues to reflect the real needs of its community.

4.4 Advisory & Support

NexTech operates within the Sol Plaatje University Technopreneurship programme, providing access to academic mentorship from Mrs. Eva Mamabolo and Mr Vernon Kok. The team will seek to establish a small advisory board of

industry professionals, including representatives from the technology sector, HR/recruitment, and the NGO/development sector, as the business matures.

5. PRODUCTS & SERVICES

5.1 Product Overview

The NexTech Career App is an AI-powered, mobile-first career support platform that consolidates the three most critical barriers to youth employment -CV creation, cover letter writing, and interview preparation -into a single, accessible application. The platform is designed to work on entry-level Android smartphones, operate effectively on limited prepaid mobile data, and function in offline mode where connectivity is unavailable.

A working web-based MVP currently exists, with core Resume Builder and Cover Letter Generator functionality operational. The platform is built on a modern, scalable technology stack: Next.js 16 and React for the frontend, OpenAI GPT-4 for AI content generation, Whisper ASR for voice-based interview coaching, Prisma ORM with SQLite for the data layer, and Vercel for CDN-optimised deployment. Development of the native mobile application (Android-first) is planned for Year 1 post-funding.

5.2 Core Features

Feature 1: AI-Powered Resume Builder

The Resume Builder guides users through a structured, step-by-step CV creation process, collecting personal details, work history, education, and skills. The AI engine then formats this information into a professionally structured, ATS (Applicant Tracking System)-optimised CV. Users can export their CV to PDF directly from their mobile device. Real-time quality scoring helps users understand how competitive their CV is before submitting.

- ATS - optimised formatting that passes automated screening systems
- Real - time quality score and improvement suggestions
- Multi - version CV management for different job types
- One - tap PDF export from mobile

Feature 2: AI Cover Letter Generator

Users paste or type a job description, and the AI analyses the posting to identify key requirements and preferred candidate attributes. It then generates a tailored, professional cover letter that highlights the user's relevant skills and experience in the appropriate tone for South African employers. Users can edit the generated letter and save templates for future applications.

- Job-description analysis for keyword and requirement extraction
- Personalised letters matched to individual user profiles
- Professional tone auto-applied with South African market context
- One-tap generation with edit capability
- Saved letter templates for efficient repeat use

Feature 3: AI Interview Coach

The Interview Coach simulates real interview scenarios using voice-powered interaction (via OpenAI Whisper ASR). Users select an industry and job level, and the AI generates relevant interview questions. After each response, the AI provides constructive feedback on content, clarity, confidence, and professional communication. A library of industry-specific question banks covers common South African employer interview formats.

- Voice-powered mock interview sessions (speak your answers)
- Real-time AI feedback on responses -content, tone, and structure
- Industry-specific question banks reflecting SA employer norms
- Confidence-building exercises and body language tips
- Progress tracking across multiple sessions over time

Feature 4: Progress & Motivation Tracker

Recognising that the job search process is psychologically demanding, the platform incorporates a motivation and progress-tracking module. Users earn digital badges for completing career milestones (first CV created, first mock interview completed, first job application submitted). Readiness scores provide tangible feedback on application preparedness.

5.3 Unique Value Proposition

NexTech is the only platform in South Africa that combines all of the following in a single product:

- Mobile-first, data-light design
- AI-powered career tools (not just templates -genuine intelligence)
- South African market localisation (SA employer norms, SAPS/ATS formats, local context)
- Offline functionality for rural and underserved communities
- Free core access for individual users -zero cost barrier
- Integrated end-to-end workflow (CV → Cover Letter → Interview Prep in one app)

5.4 Technology & Intellectual Property

The NexTech platform constitutes proprietary software developed by the co-founding team. The custom AI prompt architecture, SA-localised training datasets, and user interface design represent key intellectual assets. The team will pursue copyright protection for the software codebase and will assess trademark registration for the NexTech brand upon formal company registration.

6. MARKETING STRATEGY

6.1 Strategic Overview

NexTech's marketing strategy operates on two parallel tracks: a B2B institutional sales strategy targeting universities, government bodies, and corporate employers, and a B2C community-led growth strategy targeting individual youth users. Because individual users are the primary beneficiaries but not the primary revenue source, the B2C strategy focuses on organic, community-driven growth that simultaneously builds the platform's user base and demonstrates value to prospective B2B clients.

6.2 Pricing Strategy

Individual Users -Free

Core features (Resume Builder, Cover Letter Generator, AI Interview Coach) are provided entirely free of charge to individual users. This is a deliberate strategic decision: removing the cost barrier maximises social impact, grows the user base rapidly, and creates the volume of users that makes the platform compelling to B2B clients. A future premium tier (Year 2+) may offer advanced analytics and LinkedIn integration at a nominal fee (R49–R99/month), but the core product remains free.

B2B Institutional Pricing

NexTech's revenue is generated through annual licensing agreements with institutions. Pricing is tiered by institution type and scale:

Institution Type	Annual Licence Fee	Users Included	Key Benefits
TVET College	R 15 000 / year	Up to 1 000 students	Career centre integration, usage reporting, branded experience
University	R 75 000 / year	Up to 5 000 students	Full integration, analytics dashboard, recruiter access portal
Government / NYDA / SETA	R 40 000 / year	Up to 1,000 beneficiaries	Programme tracking, impact reporting, grant-aligned pricing
Corporate / Recruiter	R 60 000 / year	Unlimited candidate access	Candidate pipeline, skills reports, employer branding

These pricing levels are positioned to be accessible to South African institutions operating under constrained budgets while ensuring NexTech's financial sustainability. Pricing will be reviewed annually and adjusted based on demonstrated impact.

6.3 B2B Sales & Distribution Strategy

Direct Institutional Outreach

The primary B2B sales channel is direct relationship-building with decision-makers at target institutions. Mohau Mphanya leads this effort, identifying and approaching heads of career services at universities and TVET colleges, programme managers at NYDA regional offices, HR directors at corporates with large graduate intake programmes, and SETA skills development facilitators. Initial engagements will leverage the Sol Plaatje University platform as a proof-of-concept client.

Government & Grant Channel

NexTech will actively apply for youth technology and skills development grants through the NYDA Youth Fund, SETA discretionary grants, the National Skills Fund (NSF), and the Department of Small Business Development (DSBD). These grants serve dual purposes: direct funding for product development, and formal association with government mandates that increases credibility with institutional B2B clients.

Partnership Channel

Strategic partnerships with organisations that already have access to the target beneficiary population allow NexTech to distribute at scale without proportional marketing cost. Target partners include NGOs focused on youth employment (Harambee Youth Employment Accelerator, YES Programme), telecoms companies (Vodacom, MTN) for data-bundle partnerships that zero-rate the platform, and universities that embed NexTech into their career services offering.

6.4 B2C Community & Digital Marketing Strategy

Social Media -Organic & Paid

Lesedi Ledwaba leads a content-first social media strategy across platforms frequented by SA youth. TikTok is the primary channel for reach - short-form video content demonstrating CV tips, interview hacks, and app walkthroughs. Instagram supports visual brand building and career success stories. LinkedIn builds B2B credibility and corporate partner visibility. Content is produced in English and will expand to include isiZulu and Sesotho where appropriate.

Campus Ambassador Programme

NexTech will recruit student ambassadors at universities and TVET colleges across South Africa's major centres - Johannesburg, Cape Town, Durban, Bloemfontein, and Kimberley. Ambassadors organise on-campus workshops, distribute app referrals, and collect user feedback. This channel drives authentic, peer-to-peer adoption within the target demographic at minimal cost.

WhatsApp Network Marketing

Given that WhatsApp is the dominant communication platform for South African youth across all socioeconomic groups, NexTech will leverage WhatsApp group networks for app distribution - sharing tutorial videos, success stories, and job tips that naturally prompt app downloads and sharing.

Content Marketing & SEO

A blog and resource hub (hosted on the NexTech web platform) will publish practical career guidance content targeting search queries by SA youth: 'How to write a CV in South Africa', 'NYDA application tips', 'Interview questions for South African employers'. This drives organic search traffic and builds domain authority at zero incremental cost.

6.5 Customer Retention Strategy

- Regular platform updates and new features keep users engaged over the long term
- Push notifications with job opportunity alerts and career tips maintain habitual use
- The progress tracking and badge system creates intrinsic motivation to return
- B2B clients receive quarterly impact reports demonstrating measurable value
- Annual contract renewals supported by dedicated account management from Year 2

6.6 Brand Positioning

NexTech is positioned not merely as a technology product but as a movement: South African youth, building for South African youth, to fix a problem that the market has ignored. The brand tone is empowering, direct, and authentic - avoiding corporate distance in favour of peer-level communication. The tagline -"From invisible applicant to confident candidate" -encapsulates the transformation the platform delivers and will anchor all marketing communications.

7. OPERATIONAL PLAN

7.1 Current Operating Status

NexTech currently operates as a student-founded technology start-up based in Kimberley, Northern Cape. A working web-based MVP has been developed and tested, incorporating core Resume Builder and Cover Letter Generator functionality. The platform is accessible via standard web browsers and has been demonstrated to recruitment professionals and career advisors, who provided positive feedback. The team works remotely and collaboratively using cloud-based development tools, with regular coordination meetings.

7.2 Product Development Roadmap

Phase	Timeline	Milestones
Phase 1 -MVP (Current)	Completed	Web app live: Basic Resume Builder, Cover Letter Generator, basic Interview Coach
Phase 2 -Enhanced Web	Months 1 - 4	AI Interview Coach (voice), progress tracker, user accounts, onboarding flow
Phase 3 -Mobile App	Months 4 - 10	Android-first native app, offline mode, data-light optimisation, Google Play launch
Phase 4 -B2B Portal	Months 10 - 14	Institutional dashboard, analytics, branded environments, API integrations
Phase 5 -Scale	Months 14 - 24	iOS app, Sesotho/isiZulu language support, advanced AI features, national expansion

7.3 Technology Stack & Equipment

Frontend	Next.js 16, React 19, TypeScript, Tailwind CSS 4
Styling System	shadcn/ui component library
AI Engine	OpenAI GPT-4 (content generation), Whisper ASR (voice processing)
Backend	Next.js API Routes, Prisma ORM
Database	SQLite (MVP) → PostgreSQL (scale)
Hosting	Vercel (CDN-optimised, SA edge nodes)
Dev Tools	GitHub, VS Code, Figma (UI design)
Mobile (planned)	React Native (Android-first, cross-platform)

7.4 Key Operational Processes

User Onboarding

New users complete a guided 5-minute onboarding flow that captures their personal profile, work history, and career goals. This data populates all three core tools, eliminating repetitive data entry. The onboarding process is optimised for mobile completion and requires no document uploads, making it accessible to users with no existing CV materials.

AI Content Generation

When a user requests a CV, cover letter, or interview question set, the platform sends a structured prompt - incorporating the user's profile data and (where applicable) the job description - to the OpenAI GPT-4 API. Responses are returned within seconds, processed, and formatted by the application layer before being presented to the user. All API calls are batched and cached where possible to minimise data consumption and API costs.

Quality Assurance

User-generated CVs and cover letters are assessed by a quality-scoring algorithm that evaluates completeness, keyword density, ATS compatibility, and professional tone. Scores and improvement suggestions are surfaced to the user in real time. The team conducts regular manual reviews of AI output samples to identify and correct any systematic errors or cultural misalignments.

B2B Account Management

Institutional clients receive a dedicated onboarding session, access to an analytics dashboard displaying platform usage and student engagement metrics, and quarterly impact reports. Account management is handled directly by the co-founders in Year 1, with a dedicated Sales and Success function planned for Year 2.

7.6 Human Resources Plan

In Year 1, all operations are managed by the three co-founders. As revenue grows, the following hires are planned:

- Year 2: Junior Full-Stack Developer (React Native mobile development)
- Year 2: B2B Sales Executive (institutional partnership acquisition)
- Year 3: Customer Support Specialist (user onboarding and B2B account support)
- Year 3: Data Analyst (platform analytics and impact measurement)

8. FINANCIAL PLAN

8.1 Assumptions

Key Financial Assumptions

- All amounts are in South African Rand (ZAR)
- Year 1 is the first full year of operations post-MVP
- The business is self-funded by co-founders in Year 1; external grants and B2B revenue fund growth from Year 2/3
- B2B client acquisition: 3 clients in Year 1, growing to 8 in Year 2, and 15 in Year 3
- Average blended B2B annual contract value: R20,000 (mix of TVET, university, and government clients)
- OpenAI API cost estimated at approximately R0.18 per AI interaction (GPT-4 pricing at scale)
- Individual user growth: 2,000 (Year 1) → 10,000 (Year 2) → 28,000 (Year 3)
- Salaries: Co-founders draw no salary in Year 1 (self-funded, sweat equity model); junior developer hired Year 2
- No physical office costs in Year 1 -remote-first operation
- Vercel hosting costs scale proportionally with user volume at approximately R0.60 per active user per month

8.2 Start-Up Costs

The following table outlines NexTech's estimated start-up costs. Given the team's existing technical skills and the cloud-native architecture of the platform, initial capital requirements are deliberately kept low.

Start-Up Cost Item	Estimated Cost (ZAR)	Notes
CIPC Company Registration	R 175	Private Company registration fee
Domain name & initial hosting (Year 1)	R 2,400	Vercel Pro + custom domain
OpenAI API credits (development & testing)	R 4,500	GPT-4 and Whisper ASR
UI/UX design tools (Figma -annual)	R 1,800	Professional licence
Legal & terms of service drafting	R 3,500	Basic contract templates
Initial marketing materials & social media	R 2,000	Graphics, content creation
Mobile development tools & licences	R 1,500	Google Play Developer account + tooling
Miscellaneous / contingency (10%)	R 1,587	Buffer for unforeseen costs
TOTAL START-UP COSTS	R 17,462	Funded by co-founder self-funding

This start-up cost is distributed equally among the three co-founders at approximately R5,821 each - a manageable personal investment that validates commitment without requiring external capital in the pre-revenue phase.

8.3 Projected Profit & Loss Statement

The following three-year P&L projection illustrates NexTech's path from a self-funded start-up to a financially sustainable business:

	Year 1 (2026/27)	Year 2 (2027/28)	Year 3 (2028/29)
REVENUE			
B2B Institutional Licences (avg R20k)	R 60,000	R 160,000	R 300,000
Government Grants (NYDA / SETA)	R 50,000	R 80,000	R 80,000
Premium Features (individuals)	—	R 12,000	R 48,000
TOTAL REVENUE	R 110,000	R 252,000	R 428,000
OPERATING EXPENSES			
OpenAI API Costs	R 8,000	R 22,000	R 55,000
Hosting & Infrastructure (Vercel)	R 2,400	R 7,200	R 20,200
Marketing & Outreach	R 8,000	R 18,000	R 30,000
Legal & Compliance	R 5,000	R 6,000	R 7,000
Software Licences & Tools	R 6,000	R 8,000	R 10,000
Salaries (co-founders Year 1: R0)	R 0	R 84,000	R 180,000
Junior Developer (Year 2+)	—	R 84,000	R 96,000
Miscellaneous & Contingency	R 5,000	R 8,000	R 12,000
TOTAL EXPENSES	R 34,400	R 237,200	R 410,200
NET PROFIT / (LOSS)	R 75,600	R 14,800	R 17,800
Cumulative Net Position	R 75,600	R 90,400	R 108,200

Note: Year 1 shows a strong net profit primarily because co-founders are not drawing salaries (sweat equity). Year 2 dips as the team begins to remunerate itself -a deliberate and healthy transition. Year 3 returns to profitability as B2B client volume grows and the team stabilises.

8.4 Cash Flow Projection

Quarter	Cash Inflows	Cash Outflows	Net Cash Flow	Cumulative Balance
Year 1 -Q1 (Jul Sep 2026)	R 17,462*	R 17,462	R 0	R 0
Year 1 -Q2 (Oct - Dec 2026)	R 30,000	R 8,600	R 21,400	R 21,400
Year 1 -Q3 (Jan - Mar 2027)	R 50,000	R 8,600	R 41,400	R 62,800

Quarter	Cash Inflows	Cash Outflows	Net Cash Flow	Cumulative Balance
Year 1 -Q4 (Apr - Jun 2027)	R 30,000	R 8,600	R 21,400	R 84,200
Year 2 -Q1 (Jul - Sep 2027)	R 50,000	R 52,800	R 2,800	R 81,400
Year 2 -Q2 (Oct - Dec 2027)	R 82,000	R 62,000	R 20,000	R 101,400
Year 2 -Q3 (Jan - Mar 2028)	R 70,000	R 62,000	R 8,000	R 109,400
Year 2 -Q4 (Apr - Jun 2028)	R 50,000	R 60,400	R 10,400	R 99,000

**Q1 Year 1 inflows represent co-founder capital contributions (start-up funding). The business maintains a positive cumulative cash position throughout the projection period, with adequate buffer to absorb the salary introduction in Year 2.*

8.5 Break-Even Analysis

The break-even point is the level of B2B revenue at which total revenues equal total operating expenses.

Break-Even Calculation (Year 1 -No Co-Founder Salaries)

Fixed Costs (Year 1): R 34,400

Average Revenue per B2B Client: R 20,000

Break-Even B2B Clients Required: $R34,400 \div R20,000 = 1.72 \text{ clients} \approx 2 \text{ clients}$

Conclusion: NexTech reaches break-even with just 2 institutional B2B clients. Year 1 target of 3 clients provides a comfortable margin of safety above break-even.

For Year 2 (with co-founder salaries introduced), fixed costs rise to approximately R237,200, requiring 12 institutional clients at the average contract value to break even. With a Year 2 target of 8 clients supplemented by government grants (R80,000), the business remains cash-flow positive through the transition.

8.6 Funding Strategy

NexTech's funding journey follows a deliberate three-stage approach:

- Stage 1 - Self-Funded (Current): Co-founders contribute equal capital to cover start-up costs. Product development is funded by sweat equity - the team's time and skills at no cash cost.
- Stage 2 - Grants & Early B2B Revenue (Year 1 - 2): NYDA Youth Fund (up to R100,000 for qualifying youth-owned tech businesses), SETA Skills Development grants, and first B2B licensing contracts provide the primary funding for team salaries and product scale.
- Stage 3 - Organic Growth & Potential Investment (Year 2 - 3): Sustained B2B revenue growth, combined with potential angel or impact investment, funds national expansion, the mobile app launch, and the full team build-out.

